Xyra Group project

Systems Integration Limited

Acquisition screening and due diligence

Manjot Singh

Business overview

£1.04m

FY2025 revenue

~80%

Recurring support and rentals

7

Employees

Established IT services provider

Incorporated in 1998 and based in Swindon, serving the M4 corridor and national accounts. Many B2B relationships span 10–20+ years.

Service offering

Managed IT support, Microsoft 365 and Azure, business connectivity, telephony, disaster recovery and managed backups.

Source describes Microsoft Certified Partner status and recurring annual support fees.

Customer concentration

Sector	Tenure	FY25 revenue	Share
Packaging manufacturer	>20 years	£440,100	42.43%
Quarrying	>20 years	£143,895	13.87%
Recruitment	18 years	£109,812	10.59%
Recruitment	10 years	£31,484	3.04%
Recruitment	15 years	£27,293	2.63%
Security	15 years	£20,831	2.01%
Interior design / manufacturing	8 years	£20,090	1.94%
Architects	8 years	£19,585	1.89%
Catering distribution	>20 years	£17,866	1.72%
Metal fabricators	1 year	£17,173	1.66%
Others	—	£189,224	18.24%

FY2025 total revenue: £1,037,353. Concentration and diligence comments are analytical observations.

66.89%

Revenue from the top three customers

Long relationships support retention. Clients have no fixed tie-in contracts.

Diligence focus: customer retention and change-of-control risk.

Financial performance

Years ending 30 June. Amounts in £000, except percentages.

Metric	2021	2022	2023	2024	2025
Revenue	711.7	710.0	1,024.0	964.2	1,037.4
Gross profit	443.3	565.8	589.5	568.1	648.1
Gross margin[1]	62%	80%	58%	59%	62%
Operating profit	173.6	313.2	317.1	259.6	296.4
Profit before tax	125.2	247.0	259.3	196.0	216.6
Reported adjusted EBITDA	150.5	267.2	290.3	256.3	298.2

7.6% FY2025 revenue growth

28.7% FY2025 adjusted EBITDA margin

[1] Gross margins reproduce the source's rounded figures. Reported adjusted EBITDA requires diligence.

Reported adjusted EBITDA

FY2025 reconciliation	£
Profit before tax	216,563
Owner / director compensation add-backs	70,523
Replacement management salaries	(141,500)
Staff pension payments labelled one-off	63,148
Donations, entertaining and healthcare	12,836
Depreciation	79,850
Bad debt adjustment	(3,258)
Reported adjusted EBITDA	298,162

£281,572

Reported three-year average adjusted EBITDA

Review pension recurrence, replacement staffing costs and the interest / tax treatment in the earnings bridge.

Bridge follows the source’s arithmetic from profit before tax. These adjustments require buyer verification.

Balance sheet and working capital

As at 30 June. Amounts in £000.

Metric	2024	2025
Cash	152.4	110.5
Trade debtors	211.4	254.0
Current assets	363.8	364.4
Current liabilities	163.7	166.2
Net current assets	200.1	198.2
Bank loans / overdrafts, all maturities	21.7	11.7
Shareholders’ funds	268.1	270.9

£98.8k

FY2025 cash less bank borrowing

2.19x

FY2025 current ratio

Trade debtors grew 20.1% in FY2025 versus 7.6% sales growth. Review aged receivables and collections.

Management continuity and premises

Role	Tenure	Forward salary
Managing director	26 years	£10,000
Technical director	26 years	£52,000
Engineering director	26 years	£52,000
Office manager	26 years	£40,000
Senior engineer	>20 years	£30,000
Engineer	>15 years	£24,000
Engineer	4 years	£24,000

Seller transition

Founder seeks an exit and offers a handover. The technical and engineering directors intend to sell their shares and remain.

Premises

£16,000 annual rent. Three years remain on a lease with the managing director’s pension fund.

The pack describes forward salaries, with directors currently receiving minimal salaries and dividends.

Acquisition review

100% share sale

The seller proposes transferring the business, including customer relationships, ongoing projects and intellectual property.

Potential growth

Formal sales and marketing
Cloud and SaaS modernization
Expanded cybersecurity services

Diligence priorities

Top-customer retention and contract terms
Earnings adjustments and staffing needs
Receivable collections and tax balances
Director retention and lease terms

Source: Hornblower buyer pack HOD924, prepared 23 October 2025. No agreed price or completed transaction stated.